

MANDAR DEODHAR



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The 2009 Budget is a politically powered effort to counter the effects of the global slowdown. Higher allocations across schemes for rural India are expected to trigger demand at the bottom of the pyramid and drag the economy out of the trough. The idea, though, is a big gamble. Already fiscal deficit is 6.8 per cent and borrowings at a record high. The Board of INDIA TODAY Economists analyses the Budget across parameters. They agree that given the context it is a commendable effort but are concerned about the lack of clarity on many issues.

Betting

WHAT'S THE BIG IDEA?

How would you characterise the Budget?

Ashima Goyal: I think, the Budget helps increase India's demand diversity. We have seen that the agricultural sector has delivered. Even if it was not intentional the existence of schemes like National Rural Employment Guarantee Act (NREGA) has helped India reduce the impact of the global meltdown and stay in positive territory despite the monetary tightening and the global shock. The Budget is now betting more money, doing more of the same. India is doing well compared to most other countries because we are not so dependent on external trade. We have a large domestic consumption. We have an agricultural sector which had money when exports were going down. So, this Budget aims at increasing this diversity at a time when it is required, when the world is still not out of the blues.

Ajit Ranade: The big idea or the overriding theme is more of continuity, if you ignore the actual numbers of welfare spending, for instance, enhancement of the NREGA, this could have been the budget of any of the earlier UPA years. If at all there is a big idea, it is the focus on spending. If you look at the four aspects of aggregate demand, exports have collapsed, government spending cannot be expanded any more with this kind of fiscal deficit and, investments, mainly by the